CARRON BUSINESS ADVISORY

Financial Health Check

A 10-point diagnostic — rate each area G (healthy) / Y (watch) / R (act)

- [ ] **1. Cash Position** — G Y R
  Healthy: 2–3 months of operating expenses, all creditors covered
- [ ] **2. Receivables Aging** — G Y R
  Healthy: Over 90% of invoices paid by their due date
- [ ] **3. Payables Management** — G Y R
  Healthy: 100% of suppliers paid within agreed terms
- [ ] **4. Gross Margin** — G Y R
  Healthy: Stable YoY; by model (retail 30–40%, services 60–80%)
- [ ] **5. Operating Expense Ratio** — G Y R
  Healthy: Fixed costs roughly 50–70% of gross profit
- [ ] **6. Net Margin** — G Y R
  Healthy: Around 10–20%, improving year on year
- [ ] **7. Cash Conversion Cycle** — G Y R
  Healthy: Under 60 days (ideally 30–45)
- [ ] **8. Debt-to-Revenue** — G Y R
  Healthy: Under 1.0 (debt less than a year's revenue)
- [ ] **9. Revenue Concentration** — G Y R
  Healthy: Top customer under 30%; top three under 60%
- [ ] **10. Year-over-Year Growth** — G Y R
  Healthy: Revenue and profit both growing

Score: 8–10 healthy = on track · 5–7 = fix reds first · under 5 = book a review

Track quarterly — 20 minutes, four times a year.

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